9-1b The World Price and Comparative Advantage

The first issue the economists take up is whether Isoland is likely to become a textile importer or a textile exporter. In other words, if free trade is allowed, will Isolandians end up buying or selling textiles in world markets?

To answer this question, the economists compare the current Isolandian price of textiles to the price of textiles in other countries. We call the price prevailing in world markets the **world price** (the price of a good that prevails in the world market for that good) . If the world price of textiles exceeds the domestic price, then Isoland will export textiles once trade is permitted. Isolandian textile producers will be eager to receive the higher prices available abroad and will start selling their textiles to buyers in other countries. Conversely, if the world price of textiles is lower than the domestic price, then Isoland will import textiles. Because foreign sellers offer a better price, Isolandian textile consumers will quickly start buying textiles from other countries.

In essence, comparing the world price with the domestic price before trade reveals whether Isoland has a comparative advantage in producing textiles. The domestic price reflects the opportunity cost of textiles: It tells us how much an Isolandian must give up to obtain one unit of textiles. If the domestic price is low, the cost of producing textiles in Isoland is low, suggesting that Isoland has a comparative advantage in producing textiles relative to the rest of the world. If the domestic price is high, then the cost of producing textiles in Isoland is high, suggesting that foreign countries have a comparative advantage in producing textiles.

As we saw in Chapter 3, trade among nations is ultimately based on comparative advantage. That is, trade is beneficial because it allows each nation to specialize in what it does best. By comparing the world price with the domestic price before trade, we can determine whether Isoland is better or worse than the rest of the world at producing textiles.

QuickQuiz

1. The country Autarka does not allow international trade. In Autarka, you can buy a wool suit for 3 ounces of gold. Meanwhile, in neighboring countries, you can buy the same suit for 2 ounces of gold. This suggests that

    a. Autarka has a comparative advantage in producing suits and would become a suit exporter if it opened up trade.

b. Autarka has a comparative advantage in producing suits and would become a suit importer if it opened up trade.

c. Autarka does not have a comparative advantage in producing suits and would become a suit exporter if it opened up trade.

d. Autarka does not have a comparative advantage in producing suits and would become a suit importer if it opened up trade.

2. The nation of Openia allows free trade and exports steel. If steel exports were prohibited, the price of steel in Openia would be ____ , benefiting steel ____ .

   a. higher; consumers

   b. lower; consumers

   c. higher; producers

   d. lower; producers

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